



Factor Update, February 14, 2026

The Factor Update serves – along with the @Factor_Members X feed – as snippets into the trading of the Factor LLC House Prop Account focused primarily on risk and trade management, trading processes and dealing with emotions

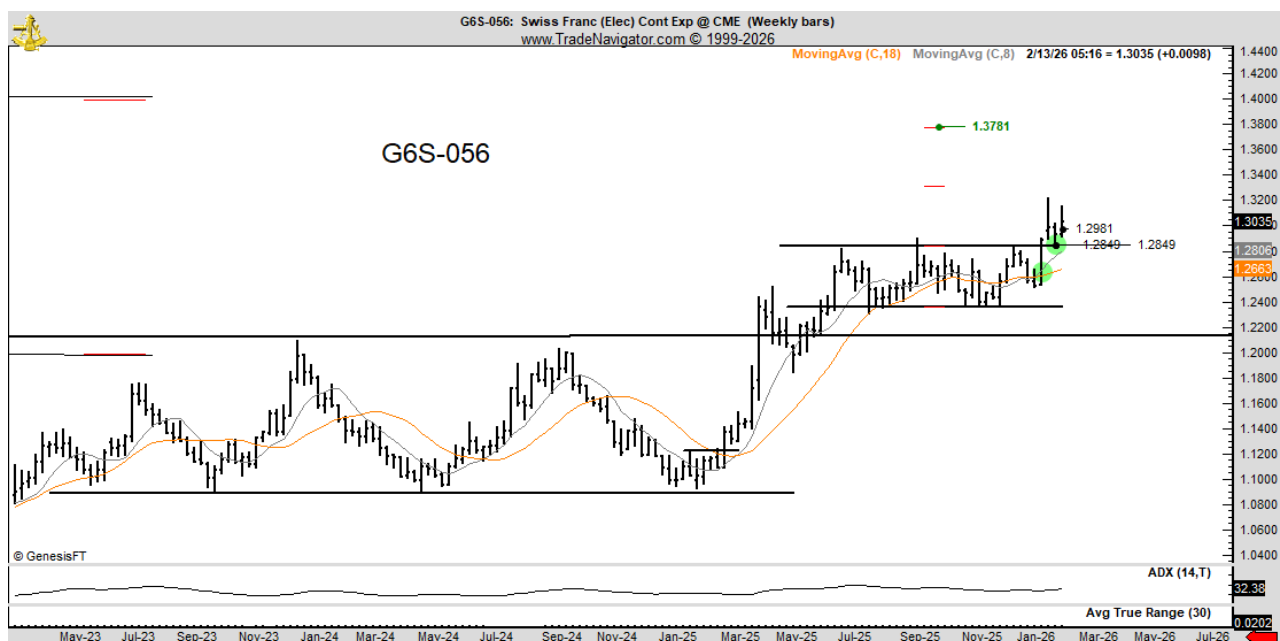
Current Factor Prop Account positions	
- Short one unit of Sugar futures - Long two units of TPYP-etf - Short EUR/long JPY futures	- Long two units of CHF futures - Long one unit of CENX stock
Markets under consideration for New Initial Positions (NIPs)	
- Gold as a Hold 2-Yr. T Note futures	KC Wheat futures
Note: I express positions in relationship to the risk of total nominal capital taken on a trade. Each unit of a trade represents an initial trade risk of \$3,500 of so per \$1 million of total nominal capital. A two-unit trade represents a risk of \$7,000 per \$1M Nominal. The maximum risk taken on a trade is three units, or \$10.5k per \$1M nominal. 2026 Sequential Closed Trade NAV performance to date = 995 as of Feb 13	

Note

This edition of the Factor Update is being issued as of price data at 08:30 U.S Mountain time.

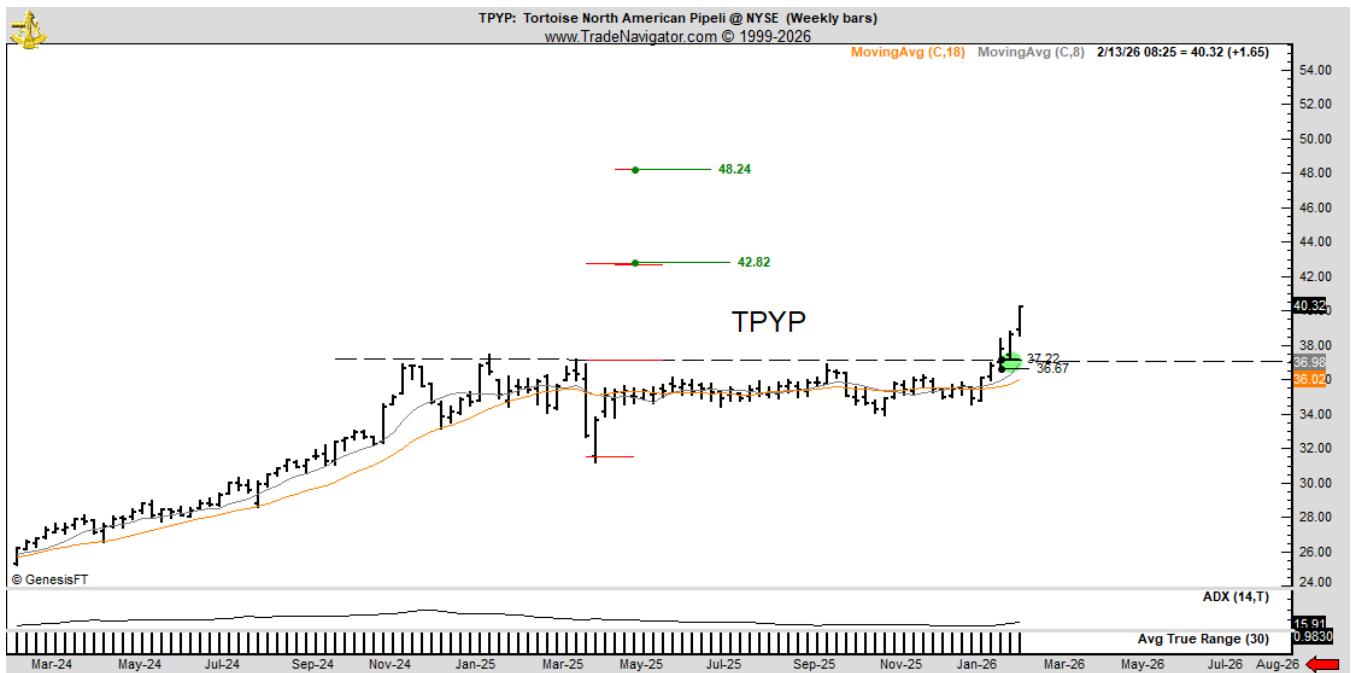
Swiss Franc futures

- Factor is long two units in the Mar futures contract (see green dots)
- This trade has massive upside potential – very asymmetric R:r profile
- Hedge funds remain the big short, Commercials are the big, long
- Daily chart = 6-month rectangle
- Weekly chart = giant springboard rectangle
- The big risk is intervention by the CHF Central Bank in the EUR/CHF cross that could spill over into CHF/USD. The SNB does NOT NOT like speculators bidding up its currency



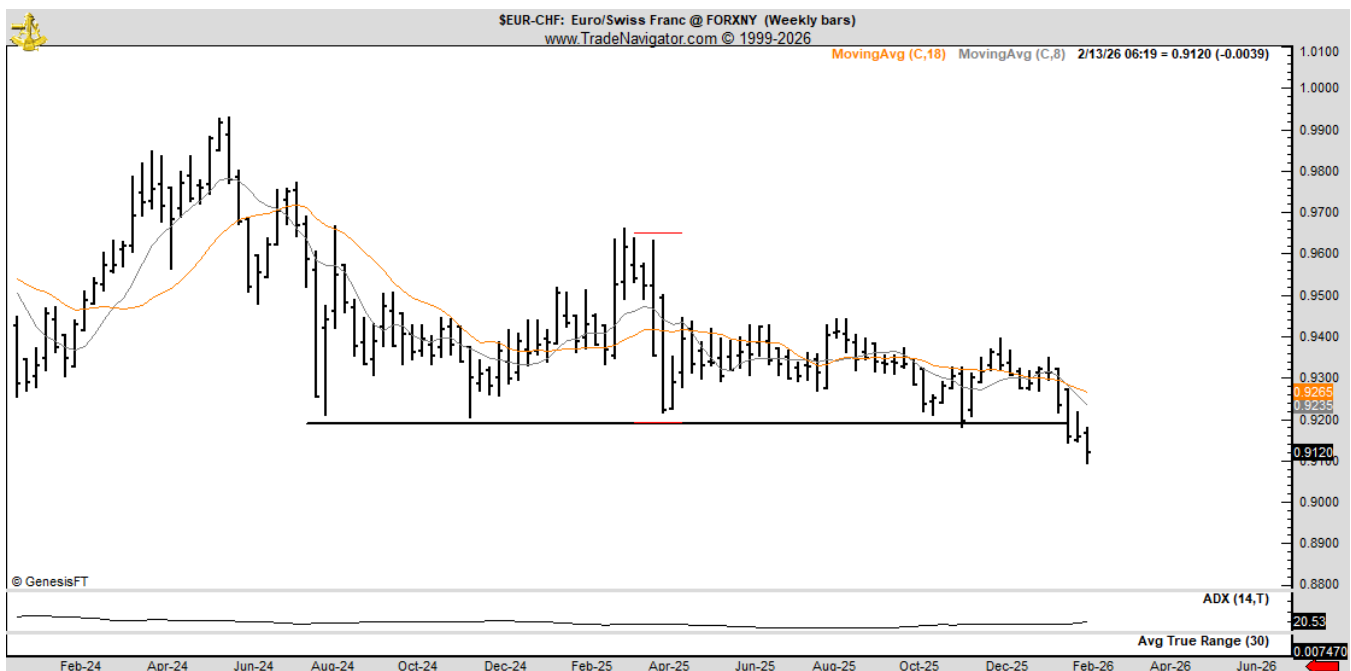
TPYP-etf

- Factor holds a two-unit long position (green dot)
- The current anchor prices for protective stops are shown on the daily chart as callouts
- In equities and ETFs I prefer relatively narrow horizontal continuation congestion periods. Then I enter when momentum completes the congestion zone. Same thing for futures



EUR/CHF spot

- An 18-month continuation of H&S pattern has been completed. I did not engage in this trade because I am already long CHF futures and short EUR/JPY futures



Silver futures

- The quarterly chart displays the massive breakout at \$50-55
- My guess – just a guess – is that a correction has begun
- I am interested in establishing a long position in SIVR at some point. This etf represents physical Silver whereby SLV is an etf holding futures contracts only
- Expect some chartists to reference the 2-week inverted H&S bottom forming on the daily graph
- Factor is flat

PeterLBrandt created with TradingView.com, Feb 13, 2026 12:52 UTC



TV TradingView

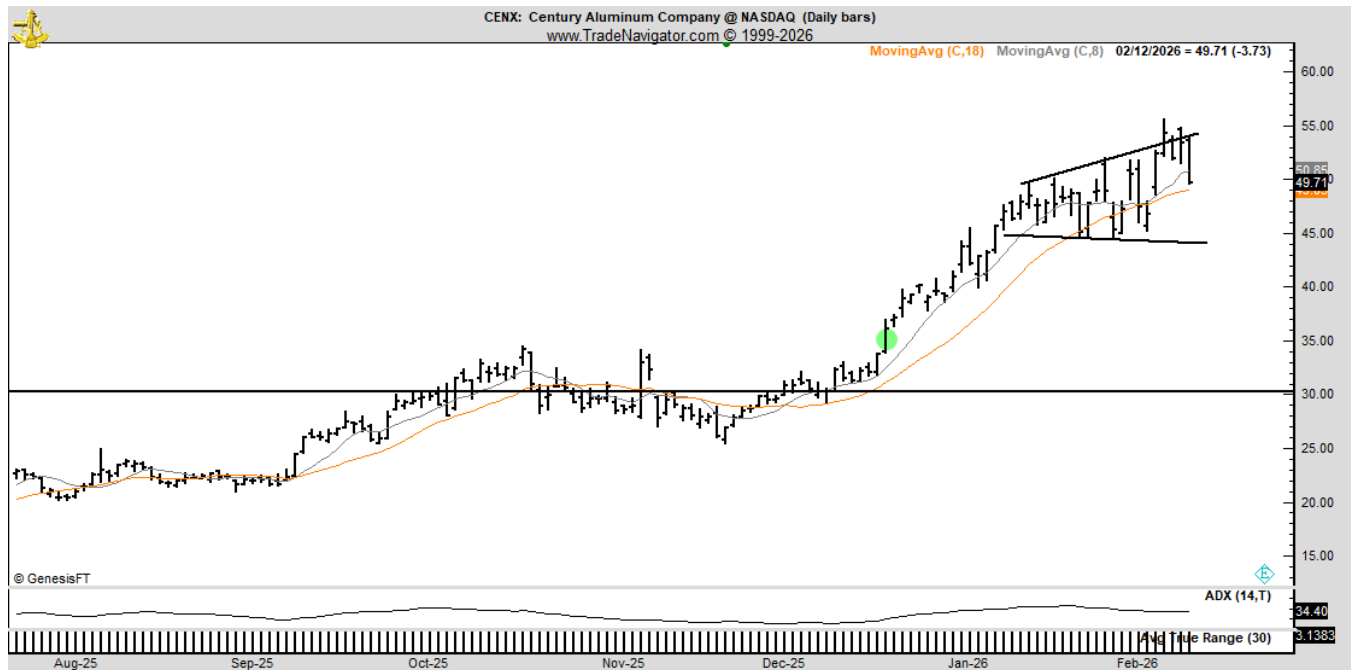
PeterLBrandt created with TradingView.com, Feb 13, 2026 12:54 UTC



TV TradingView

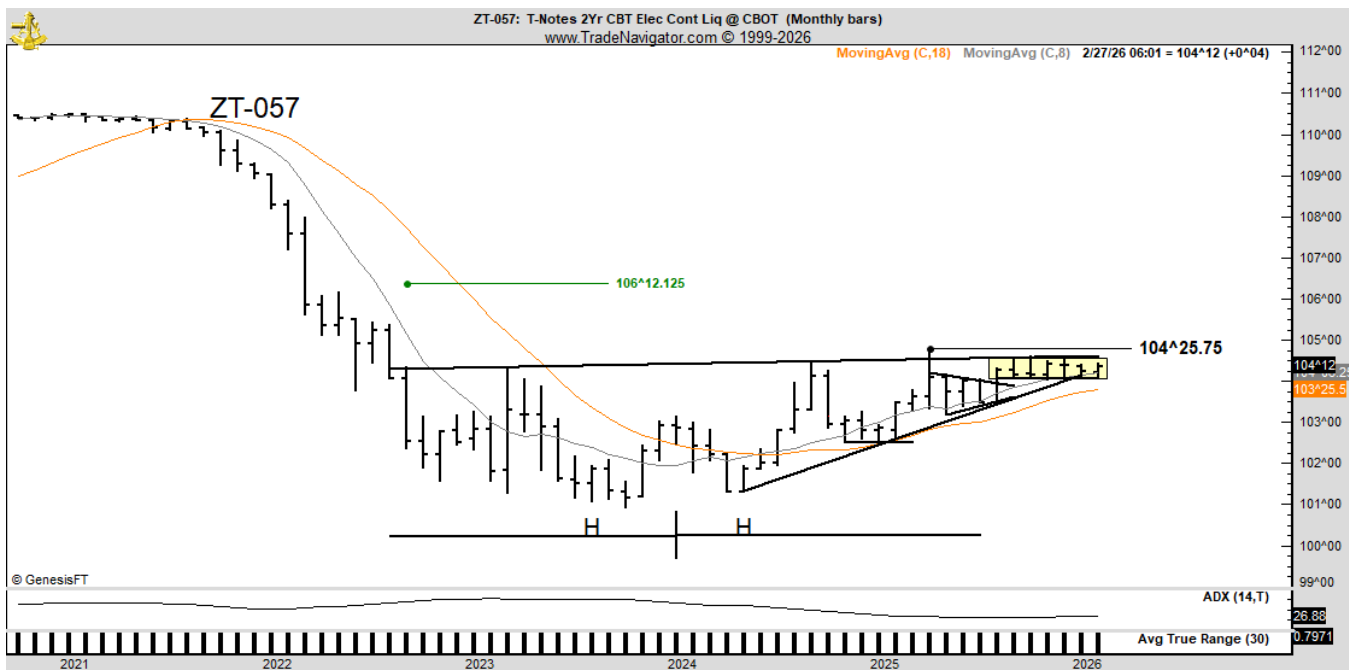
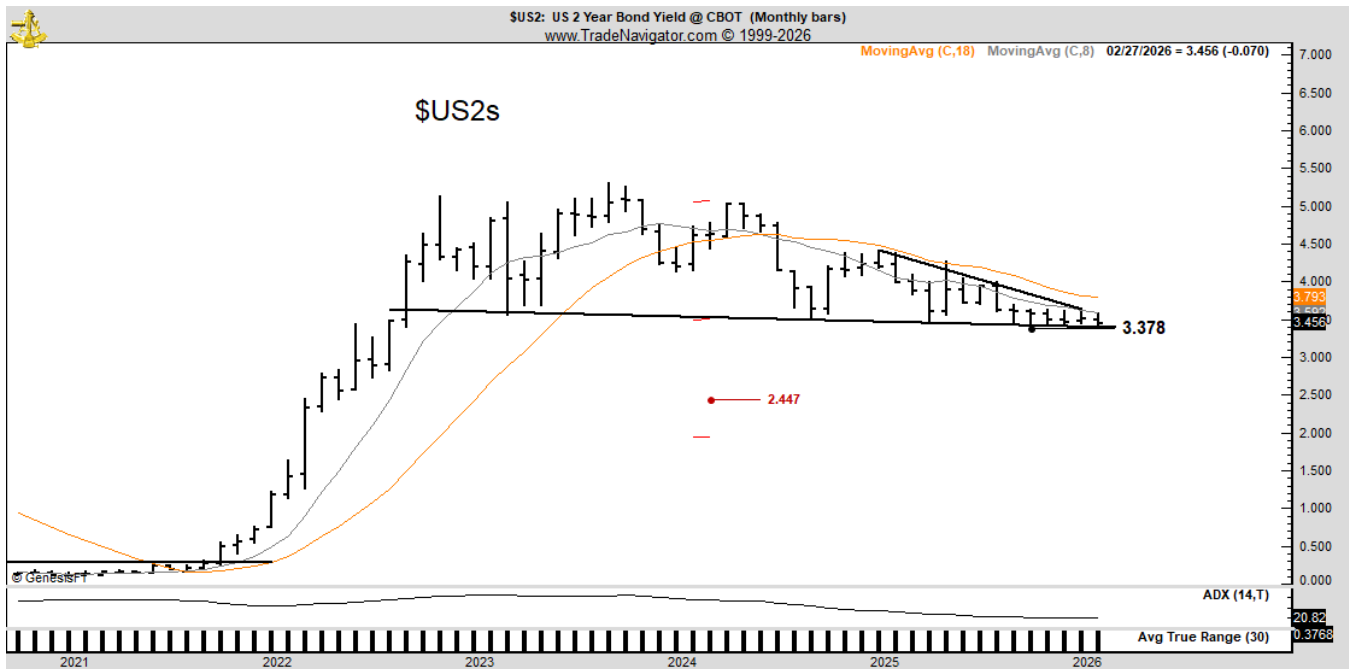
CENX-stock

- Factor is long one unit of CENX
- Even though a 3-day trailing stop rule was triggered this past week, the surviving position was based on the weekly chart. Thus, weekly bars and daily moving averages will be used to manage the final unit
- Sticking with rules-based swing trading based on price graphs helps me avoid becoming dogmatic about an individual trade. In turn, this allows me to escape relatively unscathed from huge corrections such as that recently experienced in precious metals



Treasury futures

- The dominant pattern in the 2-Yr Note is the 40-month rounding top on the yield chart and rounding bottom on the corresponding continuation futures chart
- Also note the slightly declining right-angled triangle starting at the Sep 2024 low (yield chart)
- The weekly chart also exhibits a 7-month rectangle pattern
- My trade set up is for the short side of yields, long side of futures
- This is currently my favorite developing chart – which probably has no correlation with the success of an ensuing trade



Kansas City Wheat futures

- This is the variety of Wheat used in breads
- Weekly continuation chart has completed a massive falling wedge
- The daily continuation chart (not shown) displays a possible 14-week Cup and Handle-type pattern
- The daily chart of the May contract shows a possible double bottom
- Factor is flat with orders working to buy an upside breakout
-

PeterLBrandt created with TradingView.com, Feb 13, 2026 12:10 UTC



TradingView

PeterLBrandt created with TradingView.com, Feb 13, 2026 12:12 UTC



TradingView

Euro/Yen futures (Jun contracts)

- The decline on this chart on Wednesday completed a compact 8-week top and penetrated the lower boundary of a 12-month channel.
- Factor established a two-unit short position upon the completion of the top



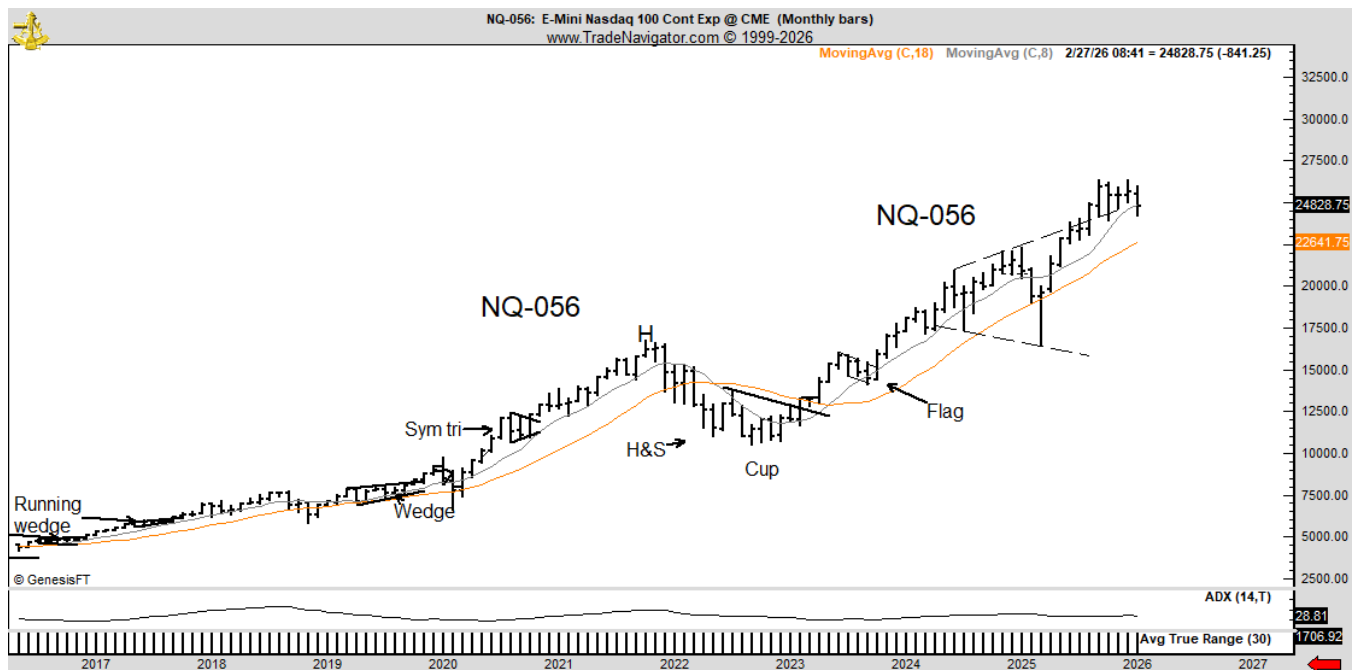
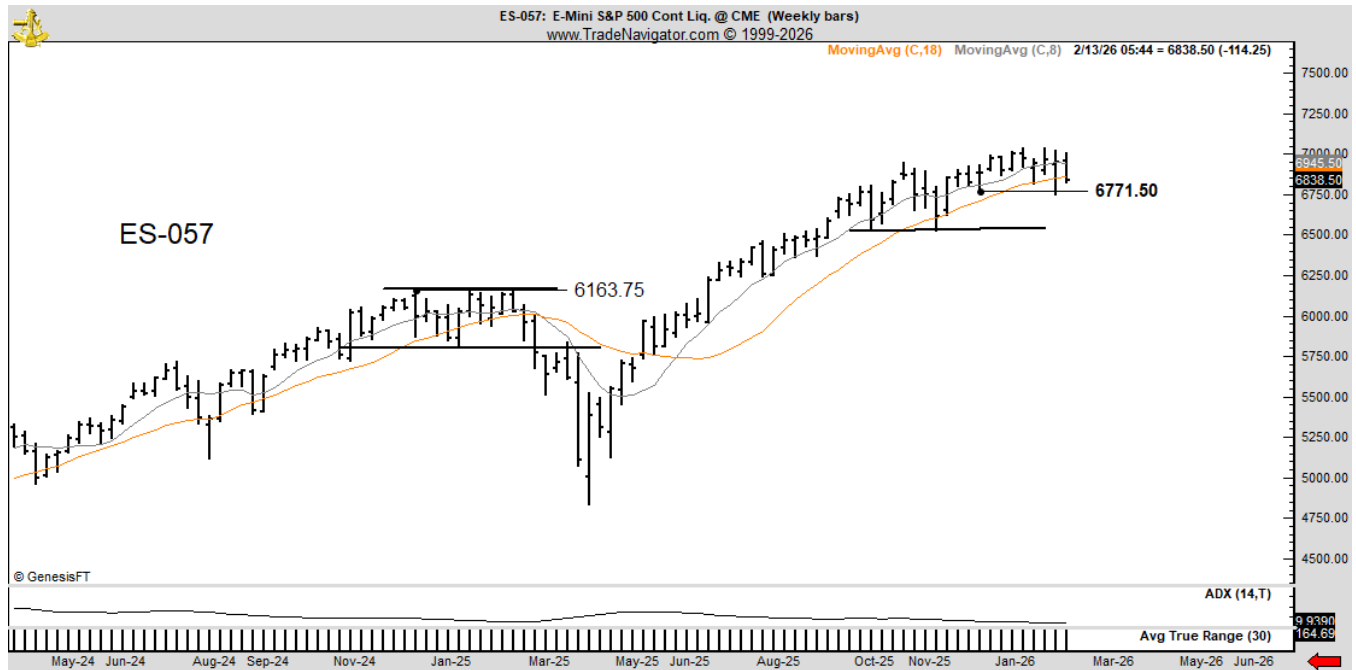
TradingView



TradingView

Stock index futures

- This U.S. index charts feel topy to me
- An upside resolution in the NASDAQ would be very constructive though
- I am re-considering the degree to which I will trade index futures ongoing unless I do so with monthly price charts



Sugar futures

- The weekly chart (not shown) displays a massive H&S top with a target of 10.75
- The daily chart completed a continuation H&S pattern on Jan 30
- I shorted the May contract on Feb 5
- In the rear-view mirror, I recognize this trade as being too short-term in nature. Nevertheless, with a profit currently locked in I will continue to hold the trade until stopped out

PeterLBrandt created with TradingView.com, Feb 13, 2026 12:29 UTC



TradingView

Trading commentary

Early in my trading career as a chartist, I would recognize a possible pattern forming and then bite at the bit to establish a position within the pattern, hoping then to double up at the breakout and be extra leveraged for a big move, if it came. Over time I dropped this strategy for several reasons.

1. I would get chopped up within a developing pattern. I referred to this as “losing 20 cents in a 5-cent trading range”
2. Trading within a trading range would tie up margin capital, precious to me in the early days
3. There were times I my capital and emotions would be chopped up only for me to then miss the real move

So, I migrated to the process of only entering upon pattern breakouts. All chart traders need to resolve this issue for themselves.

Trading during the week ending February 13, 2026

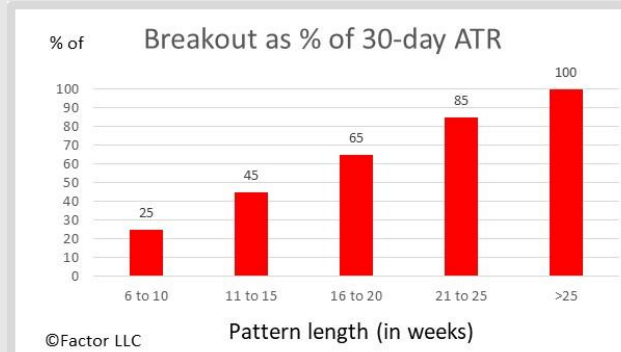
- Stopped out of one-half unit of long CENX
- Stopped out of second attempt at a long Crude Oil trade
- Stopped out of a short NY Coffee trade

For the video version of this Factor Update Video click here: None planned although I will likely release a video if a long position is established in the 2-Yr Note futures contract

Just a reminder about ATR breakout levels

To determine an entry stop order I undergo the following process:

1. Identify the breakout level (e.g., a right shoulder high of a H&S bottom)
2. Determine the length of the pattern (in **weeks**)
3. Find the 30-**day** ATR of the latest day within the pattern
4. Multiply the 30-**day** ATR by the appropriate % of the weekly length of the pattern (e.g., the adjusted ATR for a 13-**week** H&S bottom would be 45% of the 30-**day** ATR)
5. Add (long pattern)/subtract (short pattern) the adjusted 30-**day** ATR to the breakout level. This becomes the entry stop level.



Trading commentary – Swing trading

People have different definitions. As for myself as a swing trader in the futures markets, swing trading looks like this:

- Positions held from a few days (for losses) to a few weeks and even a few months in rare exceptions.
- Intent is to catch sustainable short-term trends and then move onto the next trade.
- Targets on trades are seldom more than 10-15% of the underlying asset value.

I evolved as a swing trader for three major reasons:

- As a new trader with limited capital, I could not afford to tie up trading capital in markets that were not moving.
- I hate having to make the same dollar again. Risk-adjusted RORs is my compulsion. I like to make profits – I hate giving money back (I am referring here to closed trade NAV).
- Trading was the source of my living starting in 1981. I had to take money from my account to pay bills. The possibility of 50% drawdowns was something I had to purge from my trading approach.

Why my focus is on Profit Factor, Calmar and limited drawdowns rather than on maximizing ROR?

It's easy folks. If you shoot for the moon to upwardly explode the value of your trading account, then plan for the to make the same \$\$ over and over and over again. It is far easier to build the value of an account in increments over time by holding onto to gains. It is easy to make money trading – the challenge is to keep what you make.

Factor's trading approach in a nutshell

- Futures are the ideal asset class for swing trading
- Identify clear classical chart patterns (preferably on weekly charts and most preferably horizontal patterns)
- Enter with ATR breakout stops
- Risk no more than 35 to 40 basis points per unit (70 to 80 BPs per trade)
- Protect open profits (if they develop) like a banshee
- Try to achieve a BE trade within a week or so
- Take at least partial profits at targets

###